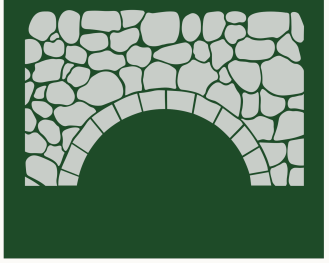
INVESTMENT PHILOSOPHY

A Guide for Fieldstone Advisory Clients

How we build, manage, and price disciplined, long-term portfolios, and the principles that stay fixed when markets move.

FIELDSTONE



FEE-ONLY INDEPENDENT INVESTMENT MANAGEMENT

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01

Executive Summary

Fieldstone Advisory was built around a simple premise. Most investors don't need more complexity in their financial lives. They need a manager who applies a disciplined process consistently over time and keeps short-term noise out of long-term decisions.

Investment management is our primary service, and financial planning is built into it. We take the time to understand a client's full financial picture so the portfolio reflects where they are actually headed, not where the market happened to be last quarter.

As an independent, fee-only firm, our compensation comes directly from our clients. We don't sell products, and we aren't paid differently based on which investments we recommend.

Ongoing portfolio management is priced as an annual advisory fee that covers rebalancing, monitoring, and keeping the plan aligned as a client's circumstances evolve. Section 11 sets out the fee schedule in full.

02

Our Mission

We help individuals, families, and organizations make financial decisions that match their goals and values. Technology informs our work. Every recommendation still rests on experience, sound judgment, and human discernment.

03

Our Investment Philosophy

We start from the view that markets absorb public information quickly, and that consistently outguessing millions of other participants through stock picking or market timing is a poor foundation for building durable wealth. Rather than chase performance, we build around long-term strategic asset allocation: setting deliberate targets across asset classes, geographies, and company sizes, and rebalancing back to those targets as markets move.

A portfolio built this way resembles a cross-section of the global economy. It holds large and small companies, developed and emerging markets, and equities alongside fixed income, sized to a client's goals, time horizon, and tolerance for risk. The target allocation changes when a client's circumstances change. It does not change in response to headlines or to whichever asset class performed best last year.

Which asset class leads changes constantly. Of the nine shown below, six finished first at least once in the last ten years, and only once did the same class lead two years in a row. Cash was the best performer in 2018 and the worst in 2016, 2017, and 2019. This is why we set a long-term allocation across all of them instead of trying to pick the next leader.

ANNUAL RETURNS BY ASSET CLASS, 2016–2025

Ranked from best (top) to worst (bottom) each calendar year

2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Small Cap 21.3%	EM Equity 37.8%	Cash 1.8%	Large Cap 31.5%	Small Cap 20.0%	REITs 41.3%	Commodity 16.1%	Large Cap 26.3%	Large Cap 25.0%	EM Equity 34.4%
High Yield 14.3%	DM Equity 25.6%	Fixed Income 0.0%	REITs 28.7%	EM Equity 18.7%	Large Cap 28.7%	Cash 1.5%	DM Equity 18.9%	Small Cap 11.5%	DM Equity 31.9%
Large Cap 12.0%	Large Cap 21.8%	REITs -4.0%	Small Cap 25.5%	Large Cap 18.4%	Commodity 27.1%	High Yield -12.7%	Small Cap 16.9%	High Yield 9.2%	Large Cap 17.9%
Commodity 11.8%	Small Cap 14.6%	High Yield -4.1%	DM Equity 22.7%	DM Equity 8.3%	Small Cap 14.8%	Fixed Income -13.0%	High Yield 14.0%	EM Equity 8.1%	Commodity 15.8%
EM Equity 11.6%	High Yield 10.4%	Large Cap -4.4%	EM Equity 18.9%	Fixed Income 7.5%	DM Equity 11.8%	DM Equity -14.0%	REITs 11.4%	Commodity 5.4%	Small Cap 12.8%
REITs 8.6%	REITs 8.7%	Small Cap -11.0%	High Yield 12.6%	High Yield 7.0%	High Yield 1.0%	Large Cap -18.1%	EM Equity 10.3%	Cash 5.3%	High Yield 12.1%
Fixed Income 2.6%	Fixed Income 3.5%	Commodity -11.2%	Fixed Income 8.7%	Cash 0.5%	Cash 0.0%	EM Equity -19.7%	Fixed Income 5.5%	REITs 4.9%	Fixed Income 7.3%
DM Equity 1.5%	Commodity 1.7%	DM Equity -13.4%	Commodity 7.7%	Commodity -3.1%	Fixed Income -1.5%	Small Cap -20.4%	Cash 5.1%	DM Equity 4.3%	Cash 4.3%
Cash 0.3%	Cash 0.8%	EM Equity -14.2%	Cash 2.2%	REITs -5.1%	EM Equity -2.2%	REITs -24.9%	Commodity -7.9%	Fixed Income 1.3%	REITs 2.3%

Equities · Real assets · Bonds and cash

Large Cap: S&P 500. Small Cap: Russell 2000. DM Equity: MSCI EAFE. EM Equity: MSCI Emerging Markets. Commodity: Bloomberg Commodity Index. High Yield: Bloomberg Global High Yield Index. Fixed Income: Bloomberg U.S. Aggregate. REITs: NAREIT Equity REIT Index. Cash: Bloomberg 1–3 Month Treasury. Total returns, calendar years.

Source: J.P. Morgan Asset Management, Guide to the Markets – U.S., data as of September 30, 2026 (Bloomberg, FactSet, MSCI, NAREIT, Russell, Standard & Poor's). Past performance is no guarantee of future results. Indexes are unmanaged and cannot be invested in directly. This is not a recommendation or a description of any Fieldstone portfolio.

04

Behavior and the Long-Term Investor

Investor behavior has a major influence on long-term results, alongside the portfolio itself. Poorly timed decisions, such as buying in after a rally, selling into a downturn, or waiting for a bottom that only looks obvious in hindsight, can cost an investor returns the portfolio would otherwise have earned.

Part of our role is helping clients avoid that pattern. A disciplined process is easy to commit to when markets are calm. It is tested during a sharp downturn or an unsettling news cycle. In those moments we don't try to predict what happens next. We help clients keep their decisions tied to their actual goals rather than the mood of the moment.

05

Our Process

Every client relationship follows the same four steps, in the same order. Objectives come first, the written policy second, and the portfolio is built only after both are agreed.

1

Set objectives

We start with a conversation about your goals, current holdings, timeline, and constraints. Nothing is proposed until we understand them.

2

Write the IPS

Your objectives become a written Investment Policy Statement: the document the portfolio is built from and measured against.

3

Build the portfolio

We implement the IPS using low-cost, broadly diversified funds, placed across your accounts with taxes in mind.

4

Manage and review

We monitor, rebalance, and review with you on a set schedule, and update the IPS when your circumstances change.

Steps three and four continue for as long as we work together. Step two is revisited whenever your goals or finances change.

06

Your Investment Policy Statement

The Investment Policy Statement (IPS) is the written record of what your portfolio is for and how it will be run. We prepare it with you before any money is invested. It becomes the standard we build the portfolio against, and the standard we review it against.

01

Purpose of the assets

What the money is for, and by when.

02

Time horizon and liquidity

When withdrawals begin, and how much needs to stay available as cash.

03

Risk tolerance and capacity

How much volatility you can accept, and how much your plan can absorb.

04

Target allocation

The long-term mix across asset classes, geographies, and company sizes, with a range around each target.

05

Tax considerations

How assets are located across taxable, tax-deferred, and Roth accounts.

06

Restrictions and preferences

Holdings to avoid, positions to keep, and any values-based criteria.

07

Rebalancing rules

When and how the portfolio is brought back to its targets.

08

Benchmarks and reviews

How performance is measured, and how often we meet.

The IPS is a living document. We revisit it on the review schedule and whenever your goals, finances, or circumstances change, and any change is made with you.

07

Our Investment Approach

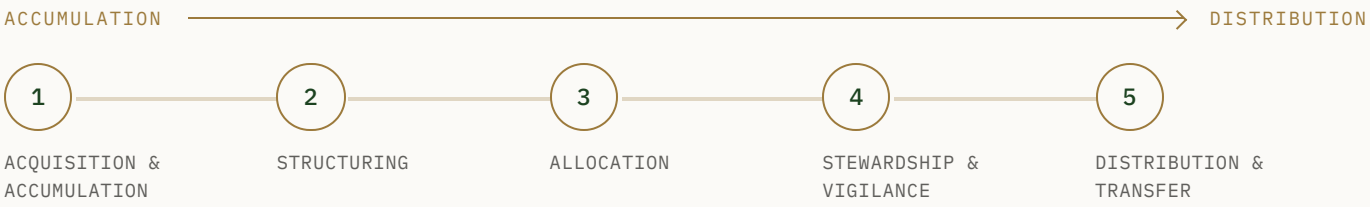
With the IPS in place, we build the portfolio from it. Portfolios at Fieldstone are built primarily with broadly diversified, low-cost funds: vehicles that provide exposure to entire markets or market segments rather than to individual securities. This keeps portfolios transparent, keeps costs low, and preserves flexibility in managing when and how gains are recognized, which matters most for clients in higher tax brackets.

Where it helps, we may also use a sub-advised strategy for a specific need, or keep holdings a client brings into the relationship, such as a position with a large unrealized gain. Either is documented in your IPS and held within the same allocation targets, and any additional fees are disclosed before anything is implemented.

08

Across the Investment Lifecycle

Our work follows a client's money through five stages, from the first deployment of capital to withdrawal and transfer. The same principles apply at every stage. What changes is the decision in front of you.



STAGE 01

Acquisition & Accumulation

WHAT THIS MEANS

Whenever new capital enters the picture, whether savings, a bonus, a liquidity event, or an inheritance, we decide how it will be invested: all at once or on a set schedule, based on the amount and your circumstances.

WHY IT MATTERS

Waiting in cash for a better entry point and rushing in without a plan are both common mistakes. A written deployment plan avoids both.

STAGE 02

Structuring

WHAT THIS MEANS

Selecting and organizing the accounts that will hold your assets (taxable, tax-deferred, and tax-exempt), with titling and beneficiary designations that match your broader plan.

WHY IT MATTERS

The wrong account for the wrong purpose can carry avoidable costs. Deciding structure early avoids years of unwinding it later.

STAGE 03

Allocation

WHAT THIS MEANS

Setting the long-term mix across asset classes, geographies, and company sizes that your IPS calls for, matched to your goals, time horizon, and risk tolerance, with a range around each target.

WHY IT MATTERS

How money is divided across asset classes has more effect on a diversified portfolio's long-term risk and return than the choice of individual securities.

STAGE 04

Stewardship & Vigilance

WHAT THIS MEANS

Ongoing monitoring, rebalancing back to target when markets push the portfolio outside its ranges, and updating the IPS when your life or goals change.

WHY IT MATTERS

Left alone, a portfolio drifts as some holdings outgrow others. Over time it can carry more or less risk than the plan assumed, without anyone noticing.

STAGE 05

Distribution & Transfer

WHAT THIS MEANS

Tax-aware withdrawal sequencing as you draw on your portfolio, and coordinated planning for the eventual transfer of wealth to the next generation or a cause you care about.

WHY IT MATTERS

Withdrawals taken in the wrong order, or no plan for transfer at all, can cost a meaningful share of what was built in taxes that planning could have reduced.

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The Value of Ongoing Stewardship

It's a fair question to ask what an ongoing advisory fee actually buys, beyond access to a portfolio a client could largely assemble on their own. Markets are unpredictable, and no manager can promise to outperform them consistently. So we focus our effort on what is within anyone's control: the structure of the portfolio, its cost, its tax efficiency, and the discipline with which it is maintained over time.

- **Disciplined Asset Allocation.** Building and maintaining exposure across the full range of markets, rather than concentrating risk in a handful of familiar names.
- **Cost-Efficient Fund Selection.** Favoring low-cost, tax-efficient vehicles that keep more of a portfolio's return in the client's account.
- **Systematic Rebalancing.** Periodically resetting the portfolio to its target allocation to manage risk drift.
- **Tax-Aware Account Placement.** Locating asset types across taxable, tax-deferred, and Roth accounts with tax efficiency in mind.
- **Tax-Loss Harvesting.** Realizing losses where appropriate to help offset gains, without disrupting the underlying strategy.
- **Behavioral Guidance.** Talking through periods of market stress with clients before they act, so decisions stay tied to the plan.

These practices are the core of what the ongoing advisory fee pays for.

WHERE ASSETS TEND TO SIT: ACCOUNT LOCATION

Taxable	Tax-deferred	Roth
TAXED AS IT ARISES	TAXED WHEN WITHDRAWN	TAX-FREE IF QUALIFIED
OFTEN HOLDS	**OFTEN HOLDS**	**OFTEN HOLDS**
Broad stock index funds and ETFs; municipal bonds for higher tax brackets	Taxable bonds, REITs, and other income-heavy or high-turnover holdings	Assets with the highest expected long-term growth
WHY	**WHY**	**WHY**
Dividends and long-term gains are often taxed at lower rates, gains are deferred until sold, and losses can be harvested.	Income is not taxed each year inside the account. Withdrawals are taxed as ordinary income.	Growth that is never taxed benefits most from the longest time horizon.

General tendencies, not rules. The right placement depends on a client's tax bracket, account balances, and goals. We coordinate with your tax professional; Fieldstone does not provide tax or legal advice.

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What You Can Control, and What You Can't

We think focusing on what you can control is a more useful lens than trying to predict where markets are headed next. Short-term outperformance is difficult to sustain and hard to predict in advance. Rather than chase it, we build a plan around what a client can actually influence.

YOU CAN INFLUENCE	YOU CAN'T CONTROL
• Your savings rate and spending • How much you defer into tax-advantaged accounts • How broadly your portfolio is diversified • The cost of investing • How you respond emotionally to markets	◦ Broad market volatility ◦ Interest-rate and policy decisions ◦ Geopolitical and macroeconomic events ◦ What any single stock does in the short term ◦ What a colleague made trading around one stock

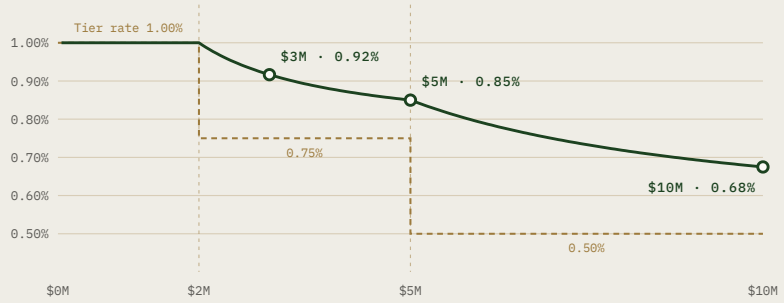
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Fees for Investment Management

We believe clients should always know exactly what they're paying for. Our annual advisory fee covers the ongoing stewardship of a portfolio: rebalancing, monitoring, and keeping investments aligned with the plan as circumstances change. This fee is tiered by account value on a blended basis, so the effective rate declines as assets grow.

ACCOUNT VALUE	ADVISORY FEE
$0 – $2 million	1.00%
$2 million – $5 million	0.75%
Above $5 million	0.50%

EFFECTIVE ANNUAL RATE BY ACCOUNT SIZE



Rates are blended by tier: for example, a $3 million portfolio is billed 1.00% on the first $2 million and 0.75% on the next $1 million, for a blended effective rate of about 0.92%.

Billed monthly in advance. No account minimum. Custodian fees and fund expenses are additional, and sub-advisor fees may apply. See Form ADV Part 2A, Item 5 for details.

Fieldstone Advisory does not provide tax or legal advice. Any discussion of tax considerations in this document is intended to support coordination with a client's own tax and legal professionals, not to replace them.

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Getting Started

01 **Initial conversation.** We'll talk through your goals, current holdings, and where you're looking for support.

02 **Formal engagement.** If it's a fit, we'll put an advisory agreement in place and outline the steps to open or transfer accounts.

03 **Investment Policy Statement.** We'll document your objectives in a written IPS and agree on it together before anything is invested.

04 **Implementation.** Once accounts are open and funded, we'll build your portfolio from the IPS and set a schedule for ongoing reviews.

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Fieldstone Advisory

An independent, fee-only portfolio management firm based in Austin, Texas.

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